Final Project. Forecasted Financial Statements and Comparative Analysis

Proejct Company: PayPal Holdings Inc.

Financial Analyst:

Part I. Assumption Table ($ million, %)

Forecasted ⟶

1. Forecasting Assumptions.	2025 FYQ3 Actual	FYQ4 2025	FYQ1 2026	FYQ2 2026	FYQ3 2026		Reasoning
Comprehensive Income Statement items: All the I/S items must be dealt in the Assumption part.							
Sales forecasted ($ million)	**8,417**	**8,763**	**8,324**	**8,729**	**8,736**	=HWMS!G56*(1-HWMS!E9)	*% assumed based on past trend
Cost of Sales (% of sales)	-54.0%	-54.0%	-54.0%	-53.5%	-53.0%		Braintree's unbranded checkout
Research and Development Exp (% of sales)	-9.5%	-9.5%	-9.0%	-9.0%	-8.5%		R&D as % of sales remains stabl
Selling, General and Administrative Exp (% of sales)	-12.3%	-12.0%	-11.8%	-11.5%	-11.0%		Company-wide restructuring, inc
Deprciation, Amortization and depletion. (% of fixed assets)	0.0%	0.0%	0.0%	0.0%	0.0%		
Other Income (% of sales)	-5.3%	-5.5%	-5.5%	-5.6%	-5.6%		Non-operating items remain sligh
Tax rate (% of income before tax)	-18.6%	-18.6%	-18.6%	-18.6%	-18.6%		PayPal's tax structure remains s
Dividend: Recent	0.0%	-1.0%	-1.5%	-1.5%	-2.0%		PayPal initiated its first dividend
Stock Repurchase Program (% of net income)	-120.2%	-100.2%	-90.2%	-87.0%	-84.0%		Buybacks slow down as PayPal p
Balance Sheet accounts: All the B/S accounts with hard inputs or trend methods must be dealt in the Assumption part.							All the B/S accounts must be dist
Non-current Available-for-Sale Securities ($ million)	24%	20%	18%	16%	15%		Liquidity holdings decline as fun
Property, plant and equipment, net	**1,656**	**1,698**	**1,702**	**1,706**	**1,710**	='%Sales & Trend'!F48	
Accounts Receivable, net	11.6%	11.6%	11.6%	11.6%	11.6%		Receivables remain stable becau
Short term Investments	1.2%	1.2%	1.2%	1.2%	1.2%		Short-term liquidity positions rem
Loans Receivable	92.7%	92.2%	91.7%	91.2%	90.7%		Loan balances normalize as Pay
Other Current Assets	23.5%	23.3%	23.0%	22.8%	22.5%		Other current
Long-term Investments	19.1%	19.0%	18.7%	18.3%	18.0%		Long-term investment balances t
Other Non-current Assets	38.0%	38.0%	38.0%	37.0%	37.0%		Deferred tax assets and long-ter
Accounts Payable	2.5%	2.5%	2.5%	2.5%	2.5%		stays constant
Accrued Expenses	48.1%	47.8%	47.3%	47.0%	46.8%		Accrued expenses decline gradu
Reserves/Accumulated comprehensive income/(loss)	-8.3%	-8.1%	-7.9%	-7.5%	-7.5%		improves slightly as AFS-related
Long-term debt	134.0%	132.0%	130.0%	128.0%	126.0%		**Long-term debt remains stable a**

Part II. Financial Planning with Forecasted Financial Statements ($ million)

Forecasted ⟶

1. Income Statement for the quarter ended	% of sales	2025 FYQ3 Actual	FYQ4 2025	FYQ1 2026	FYQ2 2026	FYQ3 2026		
Total net sales	**100%**	**8,417**	**8,763**	**8,324**	**8,729**	**8,736**	=H10	**Sales are forecasted using the Ho**
Less Cost of sales	-54%	(4,546)	(4,732)	(4,495)	(4,670)	(4,630)	=H11*H10	**reasonable as it aligns with histori**
Gross margin	46%	3,871	4,031	3,829	4,059	4,106	=H39+H40	**and no structural shifts are expec**
Less Operating expenses:								
Selling, General and Administrative Expenses	-12.3%	(1,034)	(1,052)	(1,034)	(1,008)	(964)	=H13*E10	
Research and Development Expenses	-9.5%	(801)	(832)	(789)	(789)	(745)	=H12*E10	